

SECTION 7 PROFESSIONAL TUTORIAL PDF

TradingView Heatmaps and ETF Heatmaps

How to use heatmaps to identify leadership, weakness, concentration, and outliers without mistaking the visual for a trade signal.

Student promise

Students will learn to use heatmaps as a fast market-navigation tool: where to look first, what is leading, what is lagging, and what deserves deeper chart analysis.

Course use	Recommended student level	Deliverable inside
Market scan and sector leadership practice	Beginner to intermediate	Framework, checklist, exercises, quiz, instructor notes, external source pack

Heatmaps reveal leadership, weakness, and concentration quickly

XLY
flat

XLU
-0.4%

QQQ
+0.9%

TECH
+1.5%

SMH
+1.1%

XLV
-0.6%

Watch outliers

Laggard

Leader

Color is direction. Size is the selected metric. The heatmap tells where to look, not what to buy.

Risk and ethics note: This material is for education, paper trading, and disciplined practice. It is not personalized investment, tax, legal, or financial advice. Students should not trade live capital until they can explain the setup, invalidation, position size, and loss scenario in writing.

1. Lesson Overview

Use this page to introduce the topic before opening a chart.

Conversation anchor

May 14 transcript: the class opens TradingView heatmaps around 47:04-48:47, switches into ETF heatmaps and asset-class views around 49:19-50:15, then ties heatmap work into the automated indicator process around 1:14:59-1:16:09.

Core teaching idea

A heatmap is a visual scanner. It helps students identify areas of market attention, but every idea still needs chart structure, volume, time, and risk confirmation.

Learning outcomes

1. Explain what color and size usually represent on a heatmap.
2. Use stock, ETF, and crypto heatmaps for broad market navigation.
3. Identify leaders, laggards, concentration, and unusual outliers.
4. Translate heatmap observations into a watchlist instead of a trade.

Instructor framing

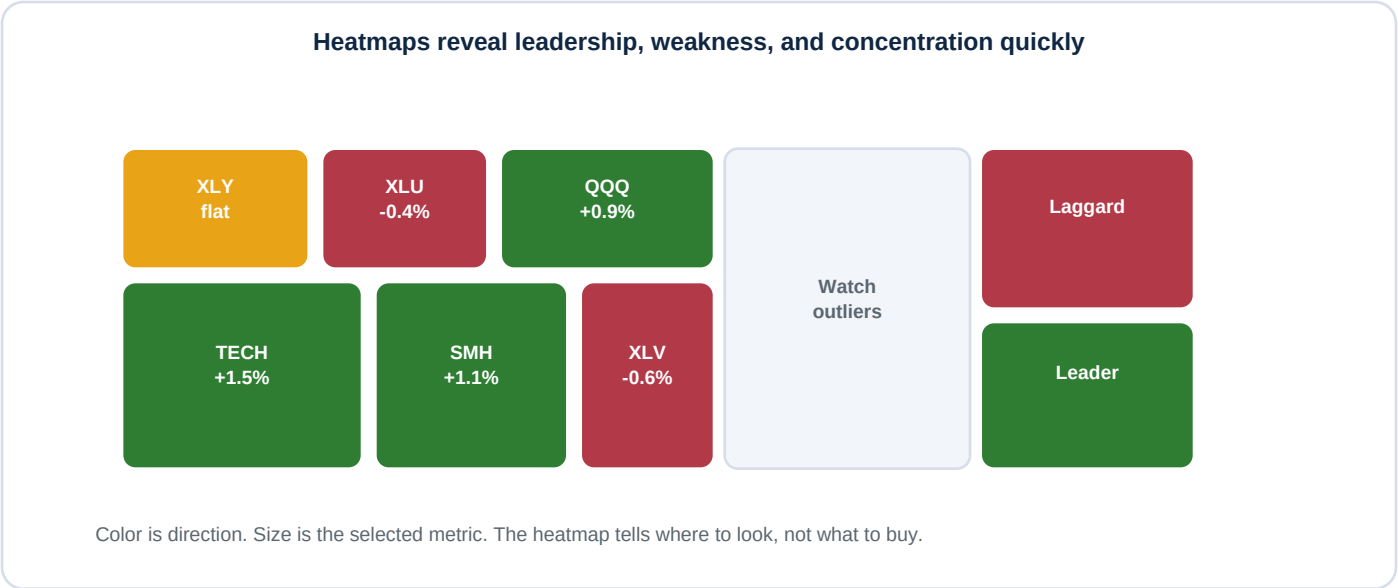
Heatmaps are fast but shallow. They are excellent for finding the pond to fish in; they do not tell students where to cast, where to stop out, or how much to risk.

Teaching emphasis

- Green and red show direction or performance change based on the selected metric.
- Box size usually reflects the selected comparison metric such as market cap, AUM, or volume.
- ETF heatmaps can reveal sector, theme, bond, commodity, or asset-class rotation.
- A heatmap should create questions, not impulsive trades.

2. Concept Map

The diagram gives students the mental model; the table defines the vocabulary.



Vocabulary students must master

Concept	Professional meaning
Color	A visual representation of performance, volatility, or the selected metric direction.
Size	A visual representation of a selected comparison metric such as market cap, AUM, or volume.
Outlier	A box that stands apart from nearby peers because of performance, volume, or volatility.
Concentration	When a few large boxes dominate the visual story and can move the index or ETF narrative.
Watchlist transfer	The process of moving observed leaders or laggards into a chart-analysis list.

Instructor note

When teaching heatmaps, ask students to describe what they see before they describe what they want to trade. Observation must come before prediction.

3. Professional Workflow

Turn the topic into a repeatable student routine.
Use this heatmap routine during the market-prep block and again during major session resets.

- 1. Select the correct heatmap: stocks, ETFs, or crypto.
- 2. Confirm the selected metric: performance, volume, AUM, volatility, or asset class.
- 3. Identify the largest green and red areas, then note whether they are concentrated or broad.
- 4. Write the leading groups and lagging groups in a notebook.
- 5. Transfer only the most useful names or ETFs to a watchlist.
- 6. Open the chart and confirm with structure before making any setup decision.

Common beginner mistake vs professional correction

Observation	Beginner mistake	Professional correction
Big green box	Chase immediately	Ask whether the move is extended, near resistance, or supported by volume.
Small red box	Ignore completely	Small boxes can show early weakness or sector divergence.
ETF heatmap	Treat every ETF the same	Check whether it is long, inverse, leveraged, thematic, bond, or commodity exposure.
Metric selection	Forget what size/color mean	Read the heatmap settings before interpreting the visual.

Quality control rule

Students must write the selected heatmap metric before explaining the visual. If they do not know what the colors and box sizes represent, they cannot use the heatmap responsibly.

4. Student Practice Lab

Students should produce written evidence, not just verbal confidence.

In-class exercise

- 1. Take a screenshot of the stock heatmap at market open and another after the first hour.
- 2. List the three strongest sectors or themes and the three weakest areas.
- 3. Switch to ETF heatmap and identify whether the same leadership appears there.
- 4. Choose two names from the heatmap and explain why one is a candidate and one is a skip.

Mini-quiz

Question	Expected answer
What does a heatmap do best?	It quickly shows leadership, weakness, outliers, and concentration.
Why is a heatmap not a trade signal?	It does not define entry, invalidation, position size, or risk.
What must be checked before interpreting a heatmap?	The selected metric for color and size.
Why compare stock and ETF heatmaps?	To see whether individual names align with sector or asset-class movement.

Homework assignment

Students must submit two heatmap screenshots from the same day, list what changed, and explain whether the change created a new candidate list or simply confirmed existing leadership.

5. External Source Pack

Give students authoritative references that complement the lesson.

Source	Type	How students should use it
TradingView - Heatmaps overview	Platform documentation	Use for official explanation of size/color coding and market overview use cases.
TradingView - ETF Heatmap	Platform tool	Use to practice ETF and sector visualization.
TradingView - Crypto Heatmap	Platform tool	Use to show that heatmap logic applies across asset classes.
TradingView - Stock Screener	Platform documentation	Use to bridge heatmap observation into filter-based scanning.
TradingView - Screener filters	Platform documentation	Use for building filters after heatmap observations.

Suggested reading order

1. Begin with TradingView heatmaps overview so students understand color and size logic.
2. Use ETF heatmap to identify sector or theme rotation.
3. Use stock screener documentation to convert visual observations into filtered searches.
4. End with a chart-level confirmation assignment.

Risk note for students

Fast visuals can create overconfidence. A green box can already be extended and a red box can reverse sharply. Heatmaps should reduce search time, not remove risk discipline.

6. Instructor Delivery Notes

Use this page to teach the section live or convert it into slides.

Teaching sequence

- 1. Open a heatmap and ask students to identify the selected metric before discussing colors.
- 2. Have students name the largest green and red clusters.
- 3. Switch to ETF heatmap and compare whether the same theme is visible.
- 4. Move one candidate into a chart and force students to define support, resistance, VWAP, and volume context.
- 5. End by asking: did the heatmap give a trade, or did it give a research direction?

Assessment rubric

Grade	Student behavior
A	Student explains metric, color, size, outliers, and translates findings into a watchlist.
B	Student identifies leaders and laggards but needs help converting them into chart work.
C	Student reads green/red but forgets the selected metric.
D/F	Student treats heatmap color as an immediate buy/sell signal.

Closing reminder

The heatmap is a map. The chart is where the setup is tested. The risk plan decides whether action is allowed.